

fixed from the genesis of any particular cryptoasset. What will change more over time are the liquidity profile and marketplace characteristics as these assets mature. The remainder of this chapter will focus on the economic characteristics of cryptoassets, while the next chapter will dive into the progression of liquidity profiles and marketplace characteristics of different cryptoassets over time, and how those trends compare with other assets.

ECONOMIC CHARACTERISTICS OF AN ASSET CLASS

For the innovative investor, evaluating cryptoassets requires similar analysis as other assets. The starting point is to recognize and identify those economic characteristics that qualify them as their own asset class. We believe that this can be done by evaluating them on the basis of four criteria.

How Are They Governed?

Just as countries are governed, so too are assets. Typically, there are three layers of governance for assets of all kinds: the procurers of the asset, the people holding the asset, and a regulatory body or multiple regulatory bodies to oversee the behavior of the procurers and the holders.

For example, a typical equity has the management of the underlying company, the shareholders of the company, and the SEC as a regulatory overseer.